NewsBank inc.

California lawmakers propose $400 gas rebate to pay nation's highest gas prices

March 17, 2022 | Center Square California, The (CA)
Author: Madison Hirneisen | Section: California | 525 Words
OpenURL Link

(The Center Square) – A group of Democratic lawmakers unveiled a proposal on Thursday to send $400 rebates to every California taxpayer to bring relief to consumers amidst record-high prices at the pump.

Under the proposal, every California taxpayer – including those who do not own a vehicle – would receive a $400 rebate, which lawmakers say is equivalent to a one-year gas tax holiday. According to the American Petroleum Institute, Californians pay the highest gas taxes in the nation at 86.55 cents per gallon, including the state's excise tax rate of 51.1 cents per gallon.

"We know too many Californians are struggling to make ends meet right now," Assemblywoman Cottie Petrie-Norris, D-Irvine, who introduced the proposal, said during a news conference Thursday. "We are here to offer help, we are here to deliver solutions."

The proposal comes as lawmakers face mounting pressure to deliver relief to consumers impacted by prices at the pump. As of Thursday, the average price for a gallon of gas in California reached $5.78 per gallon, according to the American Automobile Association.

The rebate would use a $9 billion portion of the state's budget surplus to pay fund tax rebates. Lawmakers said they arrived at the $400 figure because it represents the 51.1 cents per gallon excise tax an individual pays annually for a weekly fill up with a car's 15-gallon tank.

According to Internal Revenue Service data, 29.7 million tax returns were filed in California in fiscal year 2020.

Supporters said Thursday that the money would address prices at the pump and relieve taxpayers in other areas where inflation has driven up costs.

"We know that Californians who are taxpayers are in our grocery stores. We know that they are hit hard with inflation, high rents, all of those things coming together to make it very difficult for Californians," Assemblymember Sharon Quirk-Silva, D-Fullerton, said.

Thursday's proposal is just the latest in a string of measures officials have floated to bring relief at the pump in recent weeks, including a GOP-led bill that would suspend the 51.1 cent excise tax for six months.

Assemblyman Kevin Kiley, R-Rocklin, failed to force a vote on the proposal on the Assembly floor earlier this week. Democrats in opposition to suspending the gas tax said Thursday that it could threaten funding for infrastructure projects.

Assembly Republican Leader James Gallagher, R-Yuba City, supports the Democrat-led proposal but said GOP lawmakers would continue to push for a suspension of the gas tax.

"This bill should be fast-tracked to the Governor's desk and targeted to working Californians who actually feel the pain at the pump," Gallagher said.

During his State of the State address last week, Gov. Gavin Newsom had hinted at a tax rebate to bring relief at the pump, but did not offer many details. Lawmakers said Thursday they are "looking forward" to seeing the governor's proposal.

"I have a strong sense that there is going to be additional relief on top of this that is means tested and targeted to those folks who need it most because certainly we want to make sure as we're working through this time that those communities who are struggling the most get the most help," Assemblyman Jesse Gabriel, D-Woodland Hills, said Thursday.

© Copyright 2022 Franklin News Foundation All Rights Reserved.

- **Citation (apa Style)**
  Hirneisen, M. (2022, March 17). California lawmakers propose $400 gas rebate to pay nation's highest gas prices*Center Square California, The (CA)*. Available from NewsBank: Access World News – Historical and Current: https://infoweb.newsbank.com/apps/news/document-view?p=WORLDNEWS&docref=news/188D182445406BE0.